

PCM Hospitality — Co-Investment

Subject: *Introduction to PCM Hospitality — Proprietary Private Market Deals* (June 2026), from PCM Encore / PCM Growth | **Deals:** Qdoba franchise build-out · Cheba Hut (Sublime Huts) acquisition

Prepared: 2026-06-17 · **Basis:** the June 2026 deck + a follow-up "key terms" email + primary filings as of this date · **Method:** two-mode (first-principles disconfirmation + primary-source verification: SEC Form ADV, FDD/franchise trade press, Prudential/Butterfly/KBP records).

Verdict — conditional; not investable until the questions in §7 resolve, and not the deal the deck implies. This is **not a fraud**: PCM Encore is a real \$1.9B RIA with a clean record, Michael Paulus genuinely founded Assurance IQ (\$2.35B Prudential exit), and Barry Dubin really co-built KBP Brands (the #4 US restaurant franchisee). The catch — same pattern as a typical promoter deck — is **facts mostly true, takeaways tilted in the sponsor's favor**: your own wealth manager is soliciting you into its principals' illiquid, affiliated franchise deals (a conflict its ADV doesn't properly disclose); the headline 4–6x return rests on dressed-up operational assumptions that an honest base case pulls toward **~2x net over a long, illiquid hold**; and the actual asset ("Sublime Huts," 23 stores) cannot be verified from any public source.

What the "key terms" email improves. A follow-up from PCM states **no management fee and no carried interest on this deal, \$100k minimum, long-term hold**. If confirmed in the binding documents, this **removes the single largest economics critique** (co-invest MOICs quoted gross of fees overstate LP returns 300–600 bps; here net $\approx$ gross), and — **if** it reflects a true pari-passu ride alongside PCM's own capital — is the most-aligned structure an LP can get. It does **not** fix the unverifiable asset, the dressed-up return math, the long illiquid single-operator hold, or the ADV disclosure gap. The "long-term hold" guidance also quietly walks back the deck's own "4x by year 5."

1 · Summary scorecard

Claim	Verdict	Conf.
PCM Encore RIA (CRD 333127, \$1.94B RAUM, Aspen CO); disciplinary record	VERIFIED — clean	High
Michael Paulus founded Assurance IQ; sold to Prudential ~\$2.35B (2019)	VERIFIED	High
Barry Dubin co-founded KBP Brands (#4 US restaurant franchisee, ~1,000 units)	VERIFIED — "built," not merely "associated"	High
Qdoba owned by Butterfly Equity (2022); CEO John Cywinski; B Wild 50-unit dev deal	VERIFIED	High
Affiliated co-invest conflict disclosed in Form ADV Part 2A	UNDER-DISCLOSED — time-allocation footnote only; private-fund reporting blank	High
"OpenAI" a PCM Growth seed / CONTROL investment	REFUTED — personal/passive at most; logo-wall inflation	High
"Mexican fast-casual — limited competition beyond Chipotle"	MISLEADING — Taco Bell, Moe's, Del Taco, Rubio's...; Qdoba is the #2	High

Claim	Verdict	Conf.
Cheba Hut ~\$2.8M AUV / "conservative 5x exit" / "double EBITDA"	MISLEADING — AUV ~20% high; 5x ≈ flat to 4.7x entry; double = capex-driven	Med-High
"Sublime Huts" 23-unit Cheba Hut franchisee (the asset being bought)	UNVERIFIABLE — absent from public sources; known largest = Elevated Inc. (22u)	High
"90%+ PCM's own capital / no carry"	UNVERIFIABLE — email-stated, not in a binding/primary doc	High
Operator litigation — Dubin / B Wild / 7 Star / Sublime Huts / KBP (federal)	CLEAN of material categories — only routine employment/ADA	Med-High

Litigation screen (federal/RECAP, run 2026-06-17): B Wild Investments, 7 Star Eats, Sublime Huts, and US Laundry have **zero federal dockets**; "Barry Dubin" personally returns 8 hits, **all false positives** (unrelated parties / large multi-party cases — GM/Motors Liquidation, Republic Windows, Sargent Ranch); KBP Brands / FQSR and Fresh Dining Concepts carry only **routine employment, ADA-access, and wage-hour suits** (the operational baseline of a 1,000-unit franchisee) plus a creditor position in a mall-REIT bankruptcy — **no fraud, securities, investor/fiduciary, or franchisor-termination matters**. Coverage caveat: federal/RECAP only — state courts, full PACER party search, and UCC liens remain a paid/manual escalation.

2 • First-principles findings (ranked)

HIGH Your RIA is selling you its own principals' deal, under-disclosed in its ADV

PCM Encore (the RIA) is offering **its own advisory clients** co-investments sponsored by affiliated **PCM Growth**. The **Form ADV Part 2A** — which the deck points you to "for conflicts of interest" — discloses PCM Hospitality only as a "*Michael Paulus may allocate time*" footnote, with **zero** mentions of "co-invest," "Qdoba," "Cheba," "carried interest," or "private fund," and **Section 7.B private-fund reporting = "No Information Filed"** (reports advising zero private funds while marketing pooled co-invest vehicles). The no-fee term softens the "monetizing you twice" sharpness, but the disclosure/compliance gap remains.

HIGH The headline 4–6x rests on dressed-up assumptions; honest base case ≈ 2x net

AUV overstated ~20%: deck ~\$2.8M vs. Cheba Hut's own 2024 figures **\$2.27M mature / \$1.97M all-store** (\$2.8M ≈ the brand's 2030 aspiration). "**Conservative 5x exit**" is misleading: entry is 4.7x, so 5x is ~flat — and for a 23-unit franchisee of a sub-80-unit niche concept, 5x is *top-of-range*, not conservative. "**Double EBITDA over the hold**" = **~15%/yr CAGR**, achievable only via capex-heavy new builds, not organic — amid restaurant labor/food-cost margin pressure. If new-build ramp disappoints (common), at a flat 4.7x exit with ~2.5x leverage the equity **compresses toward ~2x (~15% IRR)**, and the leverage makes the downside non-linear. (IRR math: 4x/5yr = 32%; 6x/10yr = only 19.6% — the "6x by year 10" reads better than it compounds.)

HIGH The actual asset can't be verified

The deal is "buy these 23 specific Cheba Hut stores," yet "**Sublime Huts**" appears in **no public source**. The publicly-identified *largest* Cheba Hut franchisee is **Elevated Inc. (~22 units)**. Either Sublime is a private entity not yet in press, or it's a deal-entity name for that platform — but you cannot currently verify the asset you'd be buying, its unit count, or its standing.

MODERATE Logo-wall inflation + credential framing

"**OpenAI**" shown as a **PCM Growth seed/control investment** — **false** (a personal/passive stake at most; OpenAI never took control capital from a family office this size). Bradford Lin's **KKR / J.P. Morgan** logos are a **KKR associate (2022–25) + one JPM summer internship** presented as marquee credentials. On the operator: Dubin is real, but **Mike Kulp (unnamed in the deck)** is **KBP's CEO**, and the "\$500M equity value

/ 100 acquisitions" is a **KBP-era, unrealized, never-exited** figure imported into a deal where Dubin's independent post-KBP record is **<2 years old with zero realized exits**.

MODERATE The Qdoba thesis sentence is false; the "pipeline" is a capital obligation

"Limited competition beyond Chipotle" is wrong (Taco Bell ~7,200 units, Moe's, Del Taco, Rubio's...) — Qdoba is the perennial #2 *because* the category is contested. The "55-location pipeline offered by Qdoba Corporate" is a **~\$45–50M buildout obligation** (50 units × ~\$900K–1M) with ramp/site risk, not a gift. Qdoba unit economics: AUV ~\$1.6–1.7M, ~16% store EBITDA post-fee, bottom-quartile AUV ~\$926K (wide left tail).

3 • What is genuinely good (balance)

- **+ Real RIA, clean disciplinary record** (\$1.94B RAUM); **Paulus's Assurance IQ exit is real and verified.**
- **+ Barry Dubin is a genuine, skilled multi-unit operator** — co-founder of the #4 US restaurant franchisee. The "built vs. associated" suspicion was *refuted* by primary sources.
- **+ The brands and deals are real and signed** — Butterfly Equity owns Qdoba; B Wild's 50-unit Qdoba development agreement + 20-unit acquisition are public.
- **+ No fee / no carry (per email)** — removes the biggest economics drag; net $\approx$ gross. Pending binding confirmation and the pari-passu point.
- **+ Operator litigation screen is clean of material categories** (federal) — the credential the whole deal rests on carries only the routine employment/ADA suits any 1,000-unit operator accumulates; no fraud, securities, investor, or franchisor-termination matters.

4 • The return-math reality

Marketed	The underlying data	Honest base case
~\$2.8M AUV	\$2.27M mature / \$1.97M all-store (Cheba Hut 2024)	Use ~\$2.2–2.3M → all downstream numbers ~20% lower
"Conservative 5x exit"	Entry 4.7x; small niche franchisees trade 4–6x	Flat 4.7x exit; MOIC hinges entirely on EBITDA growth
"Double EBITDA" / "2.4x payback"	~15%/yr CAGR via capex-heavy new builds; FDD build \$0.6–2.1M	Payback ~3.5–5 yrs; growth is not organic, inherits ramp risk
4–6x MOIC (Yr 5–10)	32% IRR (4x/5yr) / 19.6% IRR (6x/10yr) — <i>if achieved</i>	~2x net / mid-teens IRR if new builds underperform

5 • Per-deal read

	Qdoba (franchise build-out)	Cheba Hut (Sublime Huts acquisition)
Structure	50-unit development agreement + 20 acquired (capex-heavy greenfield)	Buy a 23-unit existing franchisee at 4.7x
Biggest risk	~\$45–50M buildout obligation; new-unit ramp; #2-brand economics	Asset unverifiable; ~29% of a sub-80-unit cannabis-branded chain; AUV overstated
Thesis defect	"Limited competition" is false; "pipeline offered" = obligation	"Conservative 5x" $\approx$ flat; "double EBITDA" is capex-driven

6 • Methodology & sources

Primary-source verified. **UNVERIFIABLE is flagged and not treated as clean.**

- **SEC Form ADV** — PCM Encore, CRD 333127 (RAUM, ownership, Item 11, Part 2A brochure, Section 7.B).
- **Corporate / exit records** — Prudential acquisition of Assurance IQ (\$2.35B, 9/2019); Butterfly Equity acquisition of Qdoba (2022); Cywinski CEO appointment (1/2023).
- **Franchise records / trade press** — Yale SOM "KBP Foods and Barry Dubin"; Franchise Times / QSR / PRNewswire (KBP, B Wild 50-unit Qdoba deal + 20-unit acquisition, Cheba Hut Top-400, Elevated Inc. largest franchisee); Qdoba & Cheba Hut FDD Item 7/19.
- **Sponsor materials** — the June 2026 deck and the follow-up "key terms" email (no fee/carry, \$100k min, long hold).

7 • Questions to PCM (send before any commitment)

ALIGNMENT, FEES & STRUCTURE

1. **Pari passu:** Are Encore co-investors investing on the *exact same terms* as PCM's own capital — same security/class, per-unit price, and liquidation priority — with no preferential allocation, side letters, or seniority for PCM or its principals? Confirm in writing.
2. **Fees/carry — in the binding docs (not email):** confirm no management fee and no carry at the PCM co-invest level. Is there any **operator-level promote (B Wild / 7 Star Eats)** or **PCM Growth deal-level fee** (acquisition, monitoring, financing, disposition) ahead of or alongside LP returns?
3. **"90%+ PCM's own capital":** confirm the actual \$ and % commitment from PCM/principals vs. the client co-invest slug for these specific deals.
4. **Disclosure:** will these co-invest vehicles be reported as private funds on an amended Form ADV, and where is the affiliated co-investment conflict disclosed? (Part 2A currently covers PCM Tax and PCM Kinect but not PCM Hospitality.)

LIQUIDITY, HOLD & CAPITAL CALLS

5. **"Long-term hold":** target hold period, and is there *any* liquidity — redemptions, transfer/tag-along, or secondary? Expected timeline to first distribution?
6. **Capital calls:** is the \$100k fully funded at close, or are there follow-on calls (e.g., the Qdoba buildout)? Committed-vs-called structure?
7. **Governance:** what information and consent rights (LPAC, major decisions, affiliate transactions) do co-investors have?

THE CHEBA HUT ASSET

8. **"Sublime Huts" identity:** confirm the legal entity, the exact 23-store list/locations, and provide the Cheba Hut FDD Item 20 franchisee roster confirming Sublime Huts and its unit count. (Public sources identify *Elevated Inc.* at ~22 units as the largest — clarify the relationship.)
9. **Store-level financials:** audited/reviewed trailing P&Ls for the 23 units — actual AUV and store-level EBITDA margin (reconcile the deck's ~\$2.8M vs. the brand's ~\$2.0–2.3M).
10. **Entry basis:** what EBITDA is the 4.7x struck on (LTM actual vs. adjusted/pro-forma), and the purchase price and debt at close (the ~2.5x leverage)?

RETURN ASSUMPTIONS

11. **EBITDA "double":** split projected growth between new builds and same-store, with the build schedule, per-unit capex, ramp assumptions — and the case if new-build ramp underperforms.
12. **Exit multiple:** what supports calling 5x "conservative" given a 4.7x entry? Show the modeled equity outcome at a **flat 4.7x exit**.

QDOBA

13. **Development agreement:** total committed units (deck 55 vs. press 50), build schedule and non-performance penalties, total buildout capex and financing, and the store-level economics underwritten vs. the FDD (~\$1.6–1.7M AUV, ~16% post-fee EBITDA, bottom-quartile ~\$926K).

Diligence opinion on a marketing document, for the recipient's internal use only. Not investment, legal, or tax advice and not a recommendation. Findings are based on the June 2026 deck, a follow-up terms email, and primary filings available as of 2026-06-17; "UNVERIFIABLE" denotes claims that could not be confirmed from primary sources and are represented as neither true nor false. Restaurant-franchise co-investments are illiquid and involve risk of total loss of principal.